D04 · Category Strategy & Spend Analytics

04 · Market intelligence & supply base analysis

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

1 WHAT IT IS

Market intelligence is the external view that informs category strategy — supply market dynamics, capacity outlook, raw material trends, competitive structure of the supply base, and the strategic moves of major suppliers and competitors. It is the discipline that prevents the buyer from being the last to know about a market shift that has already moved.

2 WHY IT MATTERS

Market intelligence determines whether procurement negotiates from knowledge or from quotes. **The asymmetry between supplier and buyer in market knowledge is structural**: the supplier wakes up every day thinking about its market, its competitors, its raw materials; the buyer wakes up thinking about budget and OTIF. Without explicit market intelligence investment, the buyer arrives at the negotiation table with public information while the supplier arrives with proprietary insight. The standard reference work in procurement scholarship documents this asymmetry clearly **(CIPS, 2024 — Chartered Institute of Procurement & Supply professional framework)**: **market intelligence is not optional for strategic categories**, and the cost of skipping it is invisible because it is paid in pricing premiums that the buyer never sees.

3 HOW IT IS DONE

1. **Map the supply market structure for each strategic category.** Number of viable suppliers globally, capacity distribution, regional concentration, top 5 share, entry/exit dynamics. The market structure determines the negotiating environment — and most buyers do not have this map for their strategic categories.
2. **Track raw material indices and the cost build-up by component.** For categories with significant raw material exposure (steel, aluminum, copper, petrochemicals, agricultural commodities), the index movement is the leading indicator of where supplier pricing should be moving. The lag between index and quoted price is where the negotiating leverage lives.
3. **Monitor capacity adds and exits at the global level.** A new wafer fab in Arizona changes the semiconductor supply outlook three years ahead; the closure of an aluminum smelter in Europe changes the metal cost basis immediately. Industry research services (IC Insights, Wood Mackenzie, IHS Markit) and trade publications provide the signal.
4. **Build the competitive landscape view — who buys from whom, at what scale.** Customer concentration of your suppliers matters as much as their financial health: a supplier where you represent 3% of revenue treats you very differently than one where you represent 22%. The competitive analysis of supplier customer base is rarely done — and it determines real negotiating leverage.
5. **Track major supplier strategic moves — M&A, capacity decisions, technology shifts.** A supplier acquisition changes the supplier landscape overnight; a capacity reduction announcement moves the market within weeks. The market intelligence function watches for these and alerts category management before the quote arrives reflecting the new reality.
6. **Publish a monthly market intelligence brief by category.** The brief is one page per category with raw material movement, capacity news, supplier strategic moves, and the implications for negotiation and risk. Without a published brief, the intelligence stays in someone's head; with one, it informs every category decision.

WORKED EXAMPLE — ILLUSTRATIVE

A semiconductor OSAT (outsourced assembly and test) operator tracks wafer fab capacity additions globally through subscription to **IC Insights and TechSearch International**. The market intelligence team identifies that **three major fab capacity adds (TSMC Arizona, Intel Ohio, Samsung Taylor)** are coming online over the next 36 months, with combined capacity expansion of **~$78B of installed wafer value**. The downstream OSAT capacity will need to expand correspondingly — but the OSAT capacity decisions lag the fab capex by 18–24 months. The market intelligence brief surfaces the implication: **OSAT capacity will be tight in 2026–2027, then loose in 2028**, with corresponding pricing dynamics. The category strategy locks in long-term capacity reservations with two OSAT partners at 2025 pricing (avoiding the 2026–2027 spike), and structures the contracts with price-decline provisions for 2028. **3-year value of the intelligence: estimated $34M** in avoided premium pricing during the tight period, plus retained downside in the loose period.

IN PRACTICE

Map the supply market structure first

Build the structural view of the supply market before reading any report — how many viable suppliers, what their market shares are, who their parent companies are, where their plants sit. Most "market intelligence" failures are not failures of information; they are failures of having drawn the map at all.

Track raw material indices monthly per strategic category

Build a dashboard of the 5–10 commodity indices that drive cost for each strategic category and refresh monthly. The discipline of seeing the index move before the supplier asks for a price adjustment is the difference between a negotiated escalation and a passed-through one.

Monitor capacity adds and exits in the supply base

Capacity events — announced expansions, plant closures, M&A — move the supply-demand balance long before pricing reflects it. A standing log of capacity moves by major suppliers is one of the highest-leverage market intelligence outputs, and one of the cheapest, because almost all of it is publicly disclosed.

Publish a monthly market brief by category

Intelligence that does not get written down does not get used. A 1–2 page brief per strategic category, refreshed monthly, is the medium that converts ambient supplier conversations into transferable, decision-grade information — and the only way the next category manager inherits the knowledge.

WHAT YOU WOULD USE

MARKET INTELLIGENCE / COMMODITY DATA SOURCES

Industry research subscriptions (IHS Markit, IC Insights, Wood Mackenzie, S&P Global) — Sector-specific research with capacity tracking, competitive analysis, and forecast outlooks — the foundation of strategic category intelligence **(IHS Markit — vendor; Wood Mackenzie — vendor)**.

Commodity intelligence platforms (Bloomberg, Refinitiv, Argus) — Real-time and historical commodity price indices, futures markets, raw material cost models — essential for any category with commodity exposure **(Bloomberg — vendor; Refinitiv — vendor)**.

Supplier intelligence services (Dun & Bradstreet, RapidRatings, Riskmethods) — Supplier-level financial, operational, and risk intelligence — used both for supplier evaluation and for understanding the supplier's strategic constraints **(D&B — vendor; RapidRatings — vendor)**.

Open-source intelligence (10-K filings, earnings calls, trade press, supplier websites) — The DIY foundation under any market intelligence program — surprisingly rich if mined systematically. A category manager who reads the supplier's quarterly earnings call transcript knows more than 90% of buyers do.

4 SO WHAT

The buyer who negotiates without market intelligence pays the premium for not knowing it. Map the supply market structure, track raw material indices, monitor capacity adds and exits, build the competitive landscape view, track major supplier strategic moves, and publish a monthly brief by category. The plants that do this well negotiate from knowledge; the plants that do not, negotiate from quotes — and pay the structural premium that comes from the asymmetry.